

West Valley Water District, CA

1 West Valley Water District Water Revenue Refunding Bonds, Series 2016A, \$22,035,000, Dated: December 22, 2016

Series 2016

Principal amount of the Bonds outstanding

Fiscal Year Ended June 30, 2019

\$21,040,000

Series 2016

Historic Water Production in Acre-Feet

<u>Calendar Year</u>	<u>Groundwater Production</u>	<u>Lytle Creek Surface Water</u>	<u>Purchases from San Bernardino Valley Municipal Water District</u>	<u>Purchases from State Water Project</u>	<u>Total</u>	<u>% Increase/ (Decrease)</u>
2015	8,249	2,271	4,367	2,244	17,131	
2016	7,556	3,020	4,114	3,914	18,605	8.6%
2017	9,677	4,540	3,151	2,653	20,021	7.6%
2018	9,314	3,748	3,701	4,042	20,805	3.9%
2019	7,672	4,173	3,698	4,374	19,917	-4.3%

Series 2016

Historic Water Sales in Acre-Feet

<u>Fiscal Year</u>	<u>Residential Water Sales</u>	<u>Commercial/Other Water Sales</u>	<u>Total Water Sales</u>	<u>% Increase/ (Decrease)</u>
2014-2015	11,532	5,500	17,032	
2015-2016	9,695	4,987	14,681	-13.8%
2016-2017	10,186	5,207	15,393	4.9%
2017-2018	11,761	5,959	17,720	15.1%
2018-2019	10,835	5,493	16,328	-7.9%

Series 2016

Historic System Connections (although the District may provide connections by classifications of users)

<u>Fiscal Year</u>	<u>System Connections</u>
2014-2015	20,301
2015-2016	20,740
2016-2017	21,204
2017-2018	21,676
2018-2019	22,193

Series 2016

Historic Water Sales Revenues

<u>Fiscal Year</u>	<u>Residential Water Sales Revenues</u>	<u>Commercial/Other Water Sales Revenues</u>	<u>Total Water Sales Revenues</u>	<u>% Increase/ (Decrease)</u>
2014-2015	15,731,102	6,469,368	22,200,470	
2015-2016	15,472,499	5,650,421	21,122,920	-4.9%
2016-2017	16,491,856	6,352,084	22,843,940	8.1%
2017-2018	17,250,497	7,321,950	24,572,447	7.6%
2018-2019	17,288,987	7,224,813	24,513,800	-0.2%

Series 2016

Largest System Customers—Fiscal Year 2018-19

<u>Customer</u>	<u>Revenues</u>	<u>Hundred Cubic Feet</u>	<u>% of Total</u>
1 Rialto Unified School District	508,872	187,549	1.4%
2 City of Rialto	446,493	154,155	1.2%
3 Robertson's Ready Mix	304,757	119,627	0.8%
4 Aramark Uniform Services	296,479	115,188	0.8%
5 Colton Joint Unified School District	312,860	113,534	0.9%
6 City of Fontana	235,877	89,945	0.7%
7 Target	231,338	84,089	0.6%
8 Marygold Mutual Water Company	32,746	81,864	0.1%
9 My Montceito III	168,637	60,481	0.5%
10 Cal Trans	142,636	54,562	0.4%
	2,680,693		7.4%

Series 2016

Historic System Operating Results and Debt Service Coverage

	Fiscal Year Ended June 30				
	2015	2016	2017	2018	2019
System Revenues					
Water Consumption Sales	\$ 16,246,445.00	\$ 14,420,079.00	\$ 15,854,879.00	\$ 17,370,508.00	\$ 17,163,673.00
Water Service Charges	\$ 6,061,174.00	\$ 6,702,841.00	\$ 6,989,061.00	\$ 7,201,939.00	\$ 7,350,127.00
Other Operating Revenue	\$ 2,704,540.00	\$ 2,240,801.00	\$ 3,833,946.00	\$ 3,971,525.00	\$ 3,842,965.00
Property Taxes	\$ 1,658,936.00	\$ 1,758,220.00	\$ 1,821,922.00	\$ 2,023,173.00	\$ 2,305,151.00
Grants and Reimbursements	\$ -	\$ -	\$ 2,518,254.00	\$ 554,897.00	\$ 703,949.00
Interest and Investment Earnings	\$ 65,371.00	\$ 127,090.00	\$ 227,465.00	\$ 367,911.00	\$ 1,795,521.00
Rental and Other Revenue	\$ 32,207.00	\$ 29,966.00	\$ 37,241.00	\$ 32,941.00	\$ 33,860.00
Gain on sale of capital assets		\$ -	\$ 60,980.00	\$ 15,400.00	
Other non-operating revenues		\$ -	\$ 16,122.00	\$ 20,422.00	\$ 3,015,464.00
Total System Revenues	\$ 26,768,673.00	\$ 25,278,997.00	\$ 31,359,870.00	\$ 31,558,716.00	\$ 36,210,710.00
Operation and Maintenance Costs					
Source of Supply	\$ 960,369.00	\$ 1,404,819.00	\$ 1,307,160.00	\$ 972,624.00	\$ 1,740,717.00
Pumping	\$ 4,524,032.00	\$ 2,910,119.00	\$ 2,823,389.00	\$ 3,066,501.00	\$ 3,189,444.00
Water Treatment (2)	\$ 1,988,806.00	\$ 1,842,223.00	\$ 3,723,148.00	\$ 4,110,055.00	\$ 4,101,693.00
Transmission and Distribution	\$ 1,907,194.00	\$ 1,825,012.00	\$ 2,071,867.00	\$ 2,074,410.00	\$ 1,966,357.00
Customer Accounts	\$ 2,104,526.00	\$ 1,885,567.00	\$ 1,923,943.00	\$ 2,031,657.00	\$ 2,456,429.00
Public Affairs / Conservation	\$ 383,739.00	\$ 656,120.00	\$ 1,273,562.00	\$ 1,280,123.00	\$ 1,520,168.00
General and Administrative	\$ 5,165,955.00	\$ 6,212,618.00	\$ 6,502,190.00	\$ 8,170,915.00	\$ 8,313,067.00
Water Rebate	\$ -	\$ 2,547,492.00	\$ -	\$ 2,263,619.00	\$ -
Other non-operating expense	\$ -	\$ -	\$ 722,853.00	\$ -	\$ -
Total Operation and Maintenance Costs (1)	\$ 17,034,621.00	\$ 19,283,970.00	\$ 20,348,112.00	\$ 23,969,904.00	\$ 23,287,875.00
System Net Revenues	9,734,052	5,995,027	11,011,758	7,588,812	12,922,835
Debt Service					
Series 2006 D-2 Bonds	\$ 1,045,000.00	\$ 1,090,000.00	\$ 1,130,000.00	\$ -	\$ -
Assessment District 97-1	\$ 30,000.00	\$ 35,000.00	\$ 35,000.00	\$ -	\$ -
Series 2016A Bonds	\$ -	\$ -	\$ -	\$ 595,000.00	\$ 400,000.00
Contract Payable-Water Rights	\$ 321,529.00	\$ 321,529.00	\$ 321,529.00	\$ 321,529.00	\$ 321,529.00
Hydroelectric Plant	\$ -	\$ -	\$ -	\$ -	\$ 331,100.00
Interest Expense (3)	\$ 1,113,028.00	\$ 1,071,228.00	\$ 940,835.00	\$ 911,450.00	\$ 936,215.00
Total Debt Service	\$ 2,509,557.00	\$ 2,517,757.00	\$ 2,427,364.00	\$ 1,833,929.00	\$ 1,833,929.00
Debt Service Coverage	3.88	2.38	4.54	4.14	7.05
Remaining System Revenues	7,224,495	3,477,270	8,584,394	5,754,883	11,088,906

Notes:

- (1) Operating expenses exclude depreciation expense and other post employment benefit expenses
- (2) Bioremediation category combined with Water Treatment
- (3) Reflects interest paid and not accrued in fiscal year